***12. Income Tax***

The components of income tax expense for the years ended December 31, 2014, 2013, and 2012 were as follows.

| *(in thousands)* | For the Years Ended December 31, 2014 | 2013 | 2012 |
|---|---|---|---|
| Current: | | | |
| Federal | $ 231 | $ 11,150 | $ 18,506 |
| State | 273 | 587 | 754 |
| Total current taxes | 504 | 11,737 | 19,260 |
| Deferred: | | | |
| Federal | 15,136 | 3,088 | (5,351) |
| State | 800 | 252 | 400 |
| Total deferred taxes | 15,936 | 3,340 | (4,951) |
| Total income tax expense | $ 16,440 | $ 15,077 | $ 14,309 |

A reconciliation of income tax expense computed at the statutory federal income tax rate to actual income tax expense is presented in the following table for the years ended December 31, 2014, 2013, and 2012.

| | For the Years Ended December 31, | | | | | |
|---|---|---|---|---|---|---|
| | 2014 | | 2013 | | 2012 | |
| *($ in thousands)* | Amount | % | Amount | % | Amount | % |
| Taxes at statutory rate | $ 16,267 | 35.0 % | $ 14,950 | 35.0 % | $ 13,872 | 35.0 % |
| Increase (reduction) in income taxes resulting from: | | | | | | |
| State income tax, net of credits and Federal income tax | 697 | 1.5 | 545 | 1.3 | 750 | 1.9 |
| Cash surrender value of life insurance | (300) | (0.7) | (254) | (0.6) | (250) | (0.6) |
| Tax exempt interest income | (250) | (0.5) | (244) | (0.6) | (232) | (0.6) |
| Other, net | 26 | 0.3 | 80 | 0.3 | 169 | 0.4 |
| Income tax expense | $ 16,440 | 35.6 % | $ 15,077 | 35.4 % | $ 14,309 | 36.1 % |

Net deferred income tax assets are recorded on the Company's Consolidated Balance Sheets as a component of Other Assets. The tax effects of temporary differences that give rise to significant portions of deferred tax assets and deferred tax liabilities at December 31, 2014 and 2013, are presented in the table below.

| | December 31, | | | |
|---|---|---|---|---|
| | 2014 | | 2013 | |
| *(in thousands)* | Assets | Liabilities | Assets | Liabilities |
| Allowance for loan losses | $ 9,893 | $ — | $ 13,041 | $ — |
| Mortgage servicing rights | — | 16,537 | — | — |
| Accelerated depreciation | — | 2,011 | — | 1,806 |
| Deferred loan fees, net | 1,568 | — | 1,849 | — |
| Deferred compensation | 2,513 | — | 2,240 | — |
| ORE | 1,969 | — | 4,484 | — |
| Deductible prepaids | — | 334 | — | 467 |
| State tax carryforward | 2,126 | — | 1,058 | — |
| Unrealized gains on investment securities available-for-sale | — | 1,725 | — | 593 |
| Reserve for SBA/mortgage loans | 3,914 | — | 1,928 | — |
| Stock benefits/compensation | 694 | — | 509 | — |
| FDIC acquired assets | — | 1,194 | — | 3,230 |
| Loan mark-to-market adjustment | 757 | — | — | 182 |
| Other | 1,034 | 431 | 966 | 412 |
| Total | $ 24,468 | $ 22,232 | $ 26,075 | $ 6,690 |
| | | | | |
| Net deferred tax asset | $ 2,236 | | $ 19,385 | |

Based on management's belief that it is more likely than not that all net deferred tax asset benefits will be realized, there was no valuation allowance at December 31, 2014 and 2013. At December 31, 2014, the Company had $2.9 million in gross state tax credit carryforwards which expire between 2017 and 2024. There are also state net operating losses of approximately $7.8 million that begin expiring in 2029.

***Uncertain Tax Positions***

The Company is subject to the possibility of a tax audit in numerous jurisdictions in the U.S. until the applicable expiration of the statutes of limitations. For Federal and state purposes, the Company is no longer subject to tax examinations by tax authorities for tax years before 2011.

The reconciliation of gross unrecognized tax benefits at December 31, 2014, 2013 and 2012 were as follows:

| | For the Years Ended December 31, | | |
|---|---|---|---|
| *(in thousands)* | 2014 | 2013 | 2012 |
| Beginning balance | $ — | $ 266 | $ 336 |
| Gross decreases due to tax positions in prior periods | — | (266) | (70) |
| Gross increases due to current period tax positions | — | — | — |
| Reductions due to expiration of statute of limitations | — | — | — |
| Ending Balance | $ — | $ — | $ 266 |

For financial accounting purposes, interest and penalties accrued, if any, are classified as other expense in the Consolidated Statements of Comprehensive Income. There are no unrecognized tax benefits at December 31, 2014 or December 31, 2013, that, if recognized, would affect the Company's effective tax rate.